BAFFLING BAN

Foreign governments and our own farmers are angry about India's sudden ban on wheat exports. But high inflation, lower-than-expected yield and procurement forced New Delhi's hand

BY ANILESH S. MAHAJAN



ON MAY 14, THE COUNTRY BANNED all shipments of wheat "with immediate effect". In a circular, the Union commerce ministry said that export of all wheat, including of the high-protein durum and normal soft bread varieties, has been moved from the "free" to the "prohibited" category. The only relief exporters have is the window left open for two kinds of shipments—to honour committed exports where letters of credit have already been issued, and where the government bas made a commitment to 'vulnerable' countries, that is, those that depend on imports for their food requirements or are facing the brunt of natural calamities.

The move has triggered a global uproar, with developed countries saying India's decision will aggravate the food crisis precipitated by Russia's continuing aggression in Ukraine. Industry watchers are flummoxed and the farmers angry. Defending the ban, commerce secretary B.V.R. Subrahmanyam says: "India is committed not only to its own food security but also of neighbouring and other vulnerable developing countries." India's decision, officials explained, was dictated by the exigencies of taming domestic prices and ensuring food security in the time of high inflation, especially in food prices, and its falling wheat output.